

Illustration by SIDDHANT JUMDE

is in place, it will be a useful structure for investment instruments such as PMS (portfolio management services), AIF (alternate investment funds) and even stock holdings to be easily transferred.

A centralised system will, of course, initially block the investment accounts of the deceased investor. Till the family/ nominees submit relevant documents, the assets will be withheld for safety. Remember, the nominee is a custodian and the succession process still has to be followed. But, with this move, much of the hassle will be taken care of.

CARD ON TOKENISATION

The RBI has proposed card-on-file tokenisation (CoFT) facility at the issuer bank level. What this means is that you will soon be able to generate card tokens on your bank's website or app instead of e-commerce websites or apps while shopping online, which is how it exists currently. CoFT will eliminate data security concerns regarding token generation at e-commerce or merchant portals. So, once the RBI proposal is implemented, you will have greater control over managing card tokens.

The growing acceptance of tokenisation of card data has led to the new development, which should enhance merchant transaction for tech-savvy consumers. Once in place, cardholders will be able to create tokens across merchants, eliminating payment friction and the need to manually enter card data. The seamless user experience will also aid banks with more activation and spends.

Tokenisation basically replaces a debit or credit card's 16-digit number with a unique token specific to your card and for one merchant at a time. The token masks the true details of your card, so in case there is a data leak from the merchant website, the fraudster cannot misuse the card. Tokens can be used for online transactions, mobile point-of-sale transactions, or in-app transactions. It contains no personal information and keeps changing, making it a very secure way to transact.

The actual card details are not shared with the merchant during the transaction process. Instead, the card is tokenised by initiating a request on the app. The request for the token is forwarded to the card network (like Visa) which, with the consent of the card issuer (say your bank), issues the token, which factors in your card detail, the request generated for the token on the app and the device through which you initiate the transaction. You incur no costs when making payment through tokens, despite the many entities performing different transactional roles. Tokenisation will be allowed on devices such as mobile phones, tablets, laptops, desktops, wearables (wrist watches, bands, etc.) and Internet of Things (IoT) devices.

IMPACT OF TCS

Tax collected at source or TCS has come into play under the LRS (Liberalised Remittance Scheme) from October 1, 2023, which will impact foreign remittances. So, from now on, cumulative international remittances or payments of up to Rs 7 lakh per financial year per individual will not attract any TCS. However, bookings of overseas tour packages have a separate Rs 7 lakh threshold—5 per cent TCS for spends up to Rs 7 lakh and 20 per cent thereafter. This is irrespective of the mode of payment used.

With this development, the government has provided some relief to those using foreign currency and forex cards on foreign trips by bringing all modes of payment under the TCS exemption threshold of Rs 7 lakh (and 20 per cent beyond this). However, there is no change in the TCS rate while remitting abroad for education purposes and medical treatment. Since there is no clarity on how payments above the Rs 7 lakh threshold on overseas credit card payments will be treated to levy TCS, smart spenders may use this gap to their advantage. But be watchful, for any tax levied retrospectively could prove to be expensive later. ■

–Narayan Krishnamurthy